

CHINA

Table 1 **2023**

Population, million	1409.7
GDP, current US\$ billion	17767.5
GDP per capita, current US\$	12604.0
International poverty rate (\$2.15) ^a	0.0
Lower middle-income poverty rate (\$3.65) ^a	0.0
Upper middle-income poverty rate (\$6.85) ^a	17.0
Gini index ^a	35.7
School enrollment, primary (% gross) ^b	100.2
Life expectancy at birth, years ^b	78.6
Total GHG emissions (mtCO2e)	13387.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

China's economy had a strong start to the year, but a deeper contraction of the property sector and weaker consumption weighed on growth in the second quarter. Growth is projected at 4.8 percent in 2024, with policy support and robust exports offsetting the weakness in private domestic demand. The pace of poverty reduction, measured by the World Bank poverty line for upper-middle income countries, is expected to slow in line with more moderate growth.

Key conditions and challenges

Despite a severe downturn in the property sector, China's economy grew at a robust rate of 5.0 percent in the first half of 2024. However, economic growth remains uneven and below its pre-pandemic rate, reflecting both cyclical fluctuations and structural challenges. Growth has been supported by strong consumer spending on services and by exports, as well as investment in manufacturing and public infrastructure. While resilient, manufacturing investment in some sectors faces headwinds from lower profit margins, weak consumer demand at home, and increasing export restrictions abroad. The property sector, now in its fourth year of a downturn, has yet to show signs of stabilization despite additional stimulus measures. Inflation remains subdued as supply continues to outpace demand.

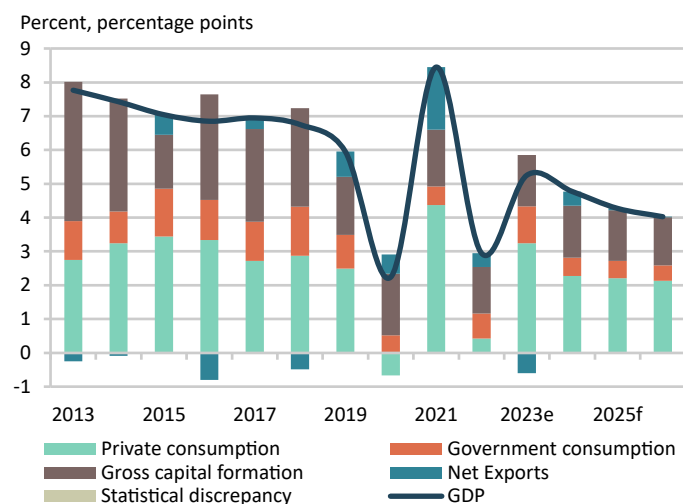
Over the medium term, China is expected to experience a structural deceleration due to slowing productivity growth, an aging population, high debt levels, and diminishing returns to capital. A challenging external environment, characterized by geoeconomic fragmentation could pose substantial headwinds to exports growth. While rebalancing away from investment and exports is part of the necessary adjustment of China's economy, a key challenge is to accelerate consumption growth to support aggregate demand. Meanwhile, China also has some

scope to rebalance investment toward green investments to progress toward its dual carbon goals—achieving peak carbon emissions before 2030 and carbon neutrality by 2060—while boosting domestic demand for green technology products.

Recent developments

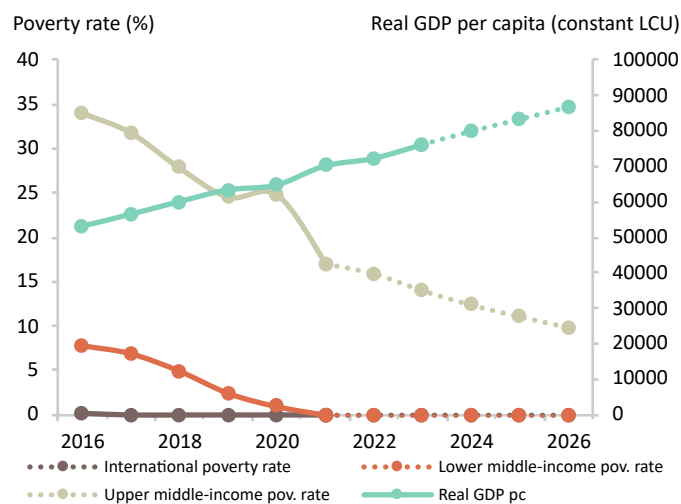
The economy's growth momentum has slowed after a strong start to the year. In seasonally-adjusted terms, GDP growth decelerated to 0.7 percent quarter on quarter in Q2 from 1.5 percent in Q1. The property sector remains the largest drag on investment. The contraction in real estate investment was only partially offset by resilient manufacturing and infrastructure investments, both bolstered by policy support. However, the proportion of loss-making industrial firms has risen as profit margins remain compressed. Meanwhile, consumption has weakened due to slower household income growth, the negative wealth effect of declining property prices, and subdued consumer confidence with final consumption only contributing 3.0 percentage points to growth during H1 2024, compared to 4.3 percentage points last year. In response to the growth slowdown, the authorities have signaled further policy easing, with additional stimulus measures announced in September. Lower policy rates and reserve requirement ratios will ease financial conditions, but the impact of these measures is limited by weak credit demand. Credit growth slowed from 9.5 percent in the first seven months of 2023 to 8.6 percent

FIGURE 1 China / Real GDP growth and contributions to real GDP growth



Sources: China National Bureau of Statistics and World Bank staff estimates.

FIGURE 2 China / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

in the same period this year. Lower minimum downpayment ratios and mortgage interest rates, and measures to reduce housing inventories and provide liquidity to developers are also expected to provide some boost to the property sector. Similarly, additional fiscal support, especially if financed by the central government, could help ease local government budget constraints caused by the contraction in fiscal revenues, increasing public spending in the short term. But a sustained improvement in consumer sentiment and domestic demand requires structural measures such as reforms of the social safety net.

Poverty reduction has continued to keep pace with aggregate growth. In 2023, around 27 million people are estimated to have climbed above the consumption threshold of US\$6.85/day, a standard benchmark often used as a reference by the World Bank to compare progress on poverty reduction across middle-income countries. Though this is higher than the estimated 16 million people who crossed the same threshold in 2022, the overall pace of poverty reduction at this higher line is still slower than in the pre-pandemic

years when GDP growth was stronger. Continued macroeconomic uncertainty is reflected in observed volatility of income growth, which likely represents an important drag on household consumption growth. The volatility of income growth (as measured by its coefficient-of-variation) over the 2022-2023 period increased 3.7 times for business income and 4.6 times for wage income in comparison to the two years preceding the pandemic.

Outlook

Growth is projected at 4.8 percent in 2024, down from 5.2 percent in 2023. Weaker household income growth and a softening labor market are likely to constrain consumption. Investment will be tempered by the persistent contraction in the property sector and reduced profitability in some manufacturing sectors. Exports will likely hold up, supported by a rebound in global goods demand as inventory restocking resumes in the US and Euro area. Consumer price inflation is expected to rise slightly

in 2024 as the drag from falling food prices fades, but it will likely remain very low amid weak consumer demand for goods. Economic growth is projected to slow further, averaging 4.2 percent in the medium term, reflecting slower productivity growth, a declining population, and high debt.

With the announcement of additional policy stimulus, the risks to the outlook have become broadly balanced. Downside risks stem from a more persistent downturn in the property sector, under-execution of fiscal policies, further softening of labor market conditions due to lower enterprise profitability and reduced hiring, and the possibility of worsening trade tensions. On the upside, larger and more effective policy support to the property sector and to households could boost confidence and lift growth above the baseline expectations.

Lower growth rates in the outer years will also weigh on the pace of poverty reduction which is expected to slow in 2024 and 2025. The poverty rate at the higher poverty line of \$6.85/day is projected to continue to fall to 12.5 percent and 11.1 percent, respectively, in 2024 and 2025.

TABLE 2 China / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	8.4	3.0	5.2	4.8	4.3	4.0
Private consumption	11.7	1.1	8.6	5.8	5.6	5.4
Government consumption	3.3	4.6	6.7	3.3	3.2	2.9
Gross fixed capital investment	3.1	3.2	4.9	3.7	3.8	3.6
Exports, goods and services	18.4	-2.5	1.6	4.2	2.2	2.0
Imports, goods and services	10.3	-5.6	6.1	2.5	2.5	2.4
Real GDP growth, at constant factor prices	8.4	3.0	5.2	4.8	4.3	4.0
Agriculture	7.1	4.2	4.0	3.0	3.0	3.0
Industry	8.7	2.6	4.7	4.9	3.9	3.2
Services	8.5	3.0	5.8	5.1	4.8	4.7
Inflation (consumer price index)	0.9	2.0	0.2	0.4	1.0	1.5
Current account balance (% of GDP)	2.0	2.5	1.4	1.0	0.5	0.2
Net foreign direct investment inflow (% of GDP)	0.9	-0.1	-0.8	-0.6	-0.3	0.1
Fiscal balance (% of GDP)^a	-4.0	-6.3	-5.8	-6.2	-5.7	-5.3
Revenues (% of GDP)	35.5	32.5	32.5	32.9	32.2	32.1
Debt (% of GDP)	46.9	50.6	54.1	57.9	60.7	58.6
Primary balance (% of GDP)	-3.0	-5.2	-4.8	-5.2	-4.7	-4.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	17.0	15.9	14.1	12.5	11.1	9.9
GHG emissions growth (mtCO2e)	5.5	1.9	2.7	2.1	2.2	2.3
Energy related GHG emissions (% of total)	84.1	84.4	84.4	84.4	84.5	84.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ The adjusted fiscal balance adds up the public finance budget, the government fund budget, the state capital management fund budget and the social security fund budget.

b/ Last grouped data available to calculate poverty is for 2021 provided by NBS. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

c/ Projection using neutral distribution (2021) with pass-through = 0.85 based on GDP per capita in constant LCU.